MARKING SCHEME

**Study-Uni**

# AC1100 — Introduction to Accounting

Winter 2024 · Paper 1 · Full Marking Scheme

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|---|---|
| **Module Code** | AC1100 |
| **Module Title** | Introduction to Accounting |
| **Examination Session** | Winter 2024 |
| **Paper Number** | Paper 1 |
| **Duration of Paper** | 1.5 Hours |
| **Internal Examiner** | Prof Stewart Smyth |
| **Head of School / Department** | Prof Michelle Carr |
| **External Examiner** | Dr Caroline Linhares |

| Question | Scenario / Topic | Marks |
|---|---|---|
| Question 1 (Compulsory) | Encore Limited — Income Statement, Changes in Equity & SOFP | 40 |
| Question 2 | Bosco Mann Limited — Disposal, Journals, Depreciation & Ethics | 30 |
| Question 3 | Conceptual Framework — Qualitative Characteristics, SOFP & Accounting Concepts | 30 |
| Question 4 | Bakker Essay (Corporate Reporting) & Neil’s Journals (First Month of Trading) | 30 |

**Instructions to Candidates:** Please answer Question 1 and two other questions. All workings must be shown.

**Note on this marking scheme:** Numerical parts are marked on correct method and workings with the **own-figure rule** applied throughout. Discursive parts are marked on depth and accuracy of explanation. Award 1 mark per correct line item in financial statements unless otherwise stated.

QUESTION 1 — SECTION A (COMPULSORY)

# Encore Limited

Total: 40 marks

*This compulsory question requires preparation of an Income Statement, a Statement of Changes in Shareholders' Equity, and a Statement of Financial Position from a trial balance incorporating ten adjustments including NRV inventory write-down, prepayment, accrual, provision movement, land revaluation, two depreciation methods, debenture interest accrual, corporation tax, and a reserve transfer.*

### Key Adjustments Summary

| Note | Adjustment |
|---|---|
| i | Closing inventory: gross €80,000 less NRV write-down €2,250 = **€77,750** |
| ii | Admin prepayment €850 → reduce admin expense; add to current assets |
| iii | Selling & dist accrual €2,750 → add to expense; add to current liabilities |
| iv | Provision reduced to €1,500 (from €4,000) → net bad debt = €11,200 − €2,500 release = **€8,700** |
| v | Land revalued to €250,000 → revaluation surplus €40,000 to equity (not SOPL) |
| vi | Buildings dep: €200,000 × 4% SL = **€8,000** |
| vii | F&F dep: carrying value (€40,000 − €15,000 = €25,000) × 15% RB = **€3,750** |
| viii | Debenture interest: €50,000 × 9% = €4,500 full year; €2,250 accrued (half unpaid) |
| ix | Corporation tax €12,500 → expense in IS; current liability in SOFP |
| x | Transfer €10,000 to general reserve → equity movement only, not SOPL |

## Question 1

40 marks

Prepare the company's Income Statement for the year to 31st May 2024, together with a Statement of Changes in Shareholders' Equity and a Statement of Financial Position at the end of the year in accordance with IFRS.

## Income Statement — Encore Limited, year ended 31st May 2024

| | Note | € | € |
|---|---|---|---|
| Sales revenue | | | 400,000 |
| Opening inventory | | 71,250 | |
| Purchases | | 219,250 | |
| Less: Closing inventory | (i) | (77,750) | |
| **Cost of Sales** | | | **(212,750)** |
| **Gross Profit** | | | **187,250** |
| Administration expenses (40,800 − 850 prepayment) | (ii) | (39,950) | |
| Selling & distribution expenses (25,150 + 2,750 accrual) | (iii) | (27,900) | |
| Debenture interest (full year: 50,000 × 9%) | (viii) | (4,500) | |
| Bad debts expense (11,200 written off − 2,500 provision release) | (iv) | (8,700) | |
| Depreciation – buildings (200,000 × 4%) | (vi) | (8,000) | |
| Depreciation – furniture & fittings (25,000 × 15% RB) | (vii) | (3,750) | |
| **Total expenses** | | | **(92,800)** |
| **Profit before tax** | | | **94,450** |
| Corporation tax | (ix) | | (12,500) |
| **Profit for the year** | | | **81,950** |

**Key workings:** NRV write-down: items cost €3,000, NRV €750 → write down €2,250; closing inventory = 80,000 − 2,250 = €77,750. Bad debts: written off €11,200 less provision release (4,000 − 1,500) = €2,500; net expense = €8,700. F&F carrying value before dep = 40,000 − 15,000 = €25,000; dep = 25,000 × 15% = €3,750. Full debenture interest = 50,000 × 9% = €4,500 (TB shows only €2,250 paid; additional €2,250 accrued). Land revaluation €40,000 goes to *revaluation reserve in equity*, NOT through IS.

## Mark Allocation — Income Statement

| Marks | Criteria |
|---|---|
| **1 per line** | 1 mark per correctly calculated line. Key marks: correct gross profit (€187,250) including NRV-adjusted closing inventory; each expense line correctly adjusted (prepayment, accrual, provision release, full debenture interest); correct depreciation figures (buildings €8,000; F&F €3,750); correct profit for year (€81,950). Deduct marks where land revaluation appears in IS rather than equity. |

## Statement of Changes in Shareholders’ Equity

| | Share Capital | Share Premium | Gen. Reserve | Revaluation Reserve | Retained Earnings | Total |
|---|---|---|---|---|---|---|
| Opening (1 June 2023) | 200,000 | 50,000 | 50,000 | — | 10,300 | 310,300 |
| Profit for year | — | — | — | — | 81,950 | 81,950 |
| Dividends paid | — | — | — | — | (60,000) | (60,000) |
| Transfer to general reserve | — | — | 10,000 | — | (10,000) | — |
| Land revaluation surplus | — | — | — | 40,000 | — | 40,000 |
| **Closing (31 May 2024)** | **200,000** | **50,000** | **60,000** | **40,000** | **22,250** | **372,250** |

## Statement of Financial Position — as at 31st May 2024

| **Non-Current Assets** | | | |
|---|---|---|---|
| **Asset** | **Cost/Valuation** | **Accumulated Dep.** | **Carrying Amount** |
| Land (revalued) | 250,000 | — | 250,000 |
| Buildings | 200,000 | 38,000 | 162,000 |
| Furniture & fittings | 40,000 | 18,750 | 21,250 |
| **Total NCA** | | | **433,250** |
| **Current Assets** | | | |
| Inventory (at lower of cost and NRV) | | | 77,750 |
| Receivables (63,200 − provision 1,500) | | | 61,700 |
| Prepayment (admin) | | | 850 |
| Cash in hand | | | 450 |
| **Total CA** | | | **140,750** |
| **Total Assets** | | | **574,000** |

| Equity & Liabilities | € |
|---|---|
| Share capital (€1 ordinary shares) | 200,000 |
| Share premium | 50,000 |
| General reserve | 60,000 |
| Revaluation reserve | 40,000 |
| Retained earnings | 22,250 |
| **Total Equity** | **372,250** |
| **Non-Current Liabilities** | |
| 9% Debentures | 50,000 |
| **Total NCL** | **50,000** |
| **Current Liabilities** | |
| Payables | 51,500 |
| Bank overdraft | 82,750 |
| Accruals (selling €2,750 + debenture interest €2,250) | 5,000 |
| Corporation tax payable | 12,500 |
| **Total CL** | **151,750** |
| **Total Equity and Liabilities** | **574,000** |

**Key SOFP workings:** Buildings accumulated dep: 30,000 + 8,000 = €38,000. F&F accumulated dep: 15,000 + 3,750 = €18,750. Bank balance is CR €82,750 = bank overdraft (current liability). Revaluation reserve €40,000 arises from land revaluation (210,000 → 250,000) — does *not* appear in IS. Prepayment €850 = current asset. SOFP balances at €574,000.

## Mark Allocation — SOCE & SOFP

| Marks | Criteria |
|---|---|
| **SOCE** | 1 mark per correct movement: profit for year, dividends paid, gen reserve transfer (neutral effect on total), revaluation reserve correctly recognised in equity not IS; correct closing total equity €372,250. |
| **SOFP** | 1 mark per correctly calculated line item: land at revalued amount €250,000; buildings CV €162,000; F&F CV €21,250; inventory at NRV-adjusted €77,750; net receivables €61,700; prepayment €850 as asset; bank correctly shown as overdraft (CL) not asset; accruals €5,000; tax payable €12,500; SOFP balances at €574,000. |

**QUESTION 1 TOTAL — 40 MARKS**

QUESTION 2 — SECTION B

# Bosco Mann Limited & Ethics

Total: 30 marks

*Part A tests disposal of a fixed asset using reducing-balance depreciation on a monthly pro-rata basis with a no-depreciation-in-year-of-disposal policy, including journals for the disposal and the depreciation charge, and comparison with an alternative depreciation policy. Part B tests understanding of the accountant's ethical code of conduct.*

### Parts in this Question

| Part | Requirement | Marks |
|---|---|---|
| A(a) | Carrying amount and profit/loss on disposal of van (pro-rata, no dep year of disposal) | 6 |
| A(b) | Journals for disposal in 2024 | 6 |
| A(c) | Journals for 2024 depreciation charge on remaining vehicles | 4 |
| A(d) | Alternative policy (full year acquisition, none disposal): carrying amount and profit/loss | 4 |
| B | Ethical code of conduct responsibilities for a practising accountant | 10 |

## Question 2 — Part A

**20 marks**

Bosco Mann disposed of a delivery truck (cost €42,500, acquired 1 April 2022, Motor Vehicles: 15% reducing balance, pro-rata monthly, no depreciation in year of disposal) on 1 June 2024 for €25,000. Accumulated depreciation on all motor vehicles at 31 Dec 2023 was €214,923.

## Full Model Answer

### (a) Carrying amount and profit/loss on disposal

**Policy applied:** Monthly pro-rata depreciation charged; *no depreciation in the year of disposal (2024)*. Therefore accumulated depreciation on the van is calculated only to 31 December 2023.

| Step | Calculation | Amount (€) |
|---|---|---|
| Cost of van | | 42,500 |
| Dep 2022: 1 Apr → 31 Dec (9 months) | 42,500 × 15% × 9/12 | 4,781 |
| CV end 2022 | 42,500 − 4,781 | 37,719 |
| Dep 2023: full year | 37,719 × 15% | 5,658 |
| CV end 2023 (= CV at disposal — no dep in 2024) | 37,719 − 5,658 | 32,061 |
| Sale proceeds | | 25,000 |
| **Loss on disposal** | **25,000 − 32,061** | **(7,061)** |

### (b) Journals for disposal in 2024

| Journal Entry | DR (€) | CR (€) |
|---|---|---|
| DR Disposal account (cost of van) | 42,500 | |
| CR Motor Vehicles at cost | | 42,500 |
| *Remove cost of disposed asset from asset account* | | |
| | | |
| DR Accumulated Depreciation – Motor Vehicles (4,781 + 5,658) | 10,439 | |
| CR Disposal account | | 10,439 |
| *Remove accumulated depreciation on disposed asset* | | |
| | | |
| DR Bank (proceeds) | 25,000 | |
| CR Disposal account | | 25,000 |
| *Record proceeds received* | | |
| | | |
| DR Loss on disposal (IS expense) | 7,061 | |
| CR Disposal account | | 7,061 |
| *Record loss on disposal (disposal account now balances)* | | |

### (c) 2024 depreciation charge on remaining vehicles

Remaining MV cost: €875,000 − €42,500 (disposed) = €832,500. Accumulated dep on remaining vehicles: €214,923 − €10,439 = €204,484. Carrying value: €832,500 − €204,484 = €628,016.

| | |
|---|---|
| 2024 depreciation on remaining vehicles | 628,016 × 15% = €94,202 |

| Journal Entry | DR (€) | CR (€) |
|---|---|---|
| DR Depreciation expense (IS) | 94,202 | |
| CR Accumulated Depreciation – Motor Vehicles | | 94,202 |
| *To record 2024 depreciation on remaining motor vehicles* | | |

### (d) Alternative policy: full year in year of acquisition, none in year of disposal

| Step | Calculation | Amount (€) |
|---|---|---|
| Dep 2022: full year (instead of 9 months) | 42,500 × 15% | 6,375 |
| CV end 2022 | 42,500 − 6,375 | 36,125 |
| Dep 2023: full year | 36,125 × 15% | 5,419 |
| CV at disposal (no dep in 2024) | 36,125 − 5,419 | 30,706 |
| Sale proceeds | | 25,000 |
| **Loss on disposal (alternative)** | **25,000 − 30,706** | **(5,706)** |

**Comparison:** The alternative policy gives a *smaller loss* (€5,706 vs €7,061) because the full-year charge in 2022 means more depreciation has been accumulated by disposal, leaving a lower carrying value. The choice of depreciation policy affects reported profits and carrying amounts in each period.

## Mark Allocation — Part A

| Marks | Criteria |
|---|---|
| **(a) 6** | Correct pro-rata 9-month dep in 2022 (€4,781); full-year 2023 dep on CV (€5,658); correct CV at disposal €32,061; correct loss €7,061; no dep charged in 2024 (policy correctly applied). |
| **(b) 6** | Four journals all correct: remove cost, remove accum dep, record proceeds, record loss; correct amounts; narrations included. |
| **(c) 4** | Correct isolation of remaining vehicles’ carrying value (€628,016); correct 2024 dep (€94,202); correct journal DR dep expense, CR accum dep. |
| **(d) 4** | Correct full-year dep 2022 (€6,375); correct CV at disposal (€30,706); correct alternative loss (€5,706); clear comparison noted. |

## Question 2 — Part B

**10 marks**

Explain the responsibilities the ethical code of conduct places on a practising accountant.

## Full Model Answer

The IFAC Code of Ethics for Professional Accountants (adopted by professional bodies such as Chartered Accountants Ireland and ACCA) sets out five fundamental principles that govern the conduct of all practising accountants:

### 1. Integrity

Accountants must be straightforward and honest in all professional and business relationships. This means not being associated with information that is false, misleading, or presented in a way that obscures the truth. In practice, an accountant must refuse to sign off financial statements they know to be materially misstated, even under management pressure.

### 2. Objectivity

Accountants must not allow bias, conflict of interest, or undue influence of others to override their professional judgement. For example, an auditor must not allow personal relationships with client management to affect the conclusions of an audit; independence — in both fact and appearance — is essential.

### 3. Professional Competence and Due Care

Accountants must maintain professional knowledge and skill at a level required to ensure competent professional service. This means keeping up to date with changes in accounting standards (e.g. new IFRS requirements) through continuing professional development (CPD), and acting diligently in accordance with applicable technical and professional standards.

### 4. Confidentiality

Accountants must respect the confidentiality of information obtained during professional relationships and must not disclose that information to third parties without proper authority, unless there is a legal or professional right or duty to do so. For example, a client's financial information may not be shared with a competitor or used for personal advantage.

### 5. Professional Behaviour

Accountants must comply with relevant laws and regulations and avoid any action that discredits the profession. This includes avoiding statements that are misleading about the accountant's qualifications, making unfair and unsubstantiated comparisons with other practitioners, or engaging in aggressive tax avoidance structures that, while technically legal, damage public trust in the profession.

## Mark Allocation — Part B

| Marks | Criteria |
| --- | --- |
| **9–10** | All five fundamental principles correctly named and clearly explained in the context of a practising accountant’s responsibilities; examples or practical illustrations included for most principles; demonstrates understanding of why each principle matters. |
| **7–8** | All five principles named; four or more explained with reasonable depth; limited use of practical examples. |
| **4–6** | Three or four principles covered adequately; some explanation but limited depth or application. |
| **1–3** | One or two principles identified; explanation is superficial. |
| **0** | No meaningful attempt. |

**QUESTION 2 TOTAL — 30 MARKS**

QUESTION 3 — SECTION B

# Conceptual Framework & Accounting Concepts

Total: 30 marks

*This question tests knowledge of the IASB Conceptual Framework for Financial Reporting (2018): its qualitative characteristics of useful financial information, the objective and limitations of the Statement of Financial Position, and four fundamental accounting concepts.*

### Parts in this Question

| Part | Requirement | Marks |
|---|---|---|
| (a) | Qualitative characteristics of financial information (Conceptual Framework 2018) | **9** |
| (b) | Objective of the SOFP and its major limitations for general users | **9** |
| (c)(i–iv) | Explain: prudence, consistency, going concern, accruals concepts (3 marks each) | **12** |

## Question 3

**30 marks**

Prepare a report for an investor on: (a) qualitative characteristics of financial information per the Conceptual Framework 2018; (b) objective and limitations of the SOFP; (c) prudence, consistency, going concern, and accruals concepts.

### Part (a) — Qualitative Characteristics (9 marks)

The IASB Conceptual Framework (2018) identifies **two fundamental qualitative characteristics** and **four enhancing qualitative characteristics** of useful financial information:

#### Fundamental 1: Relevance

Financial information is relevant if it is capable of making a difference to decisions made by users. Information is relevant if it has *predictive value* (helps forecast future outcomes), *confirmatory value* (confirms or changes previous evaluations), or both. Materiality is an aspect of relevance: information is material if omitting, misstating or obscuring it could influence decisions of the primary users.

#### Fundamental 2: Faithful Representation

To be faithfully represented, financial information must be complete, neutral, and free from error. Complete means all necessary information is included; neutral means it is not biased towards a particular outcome; free from error means there are no errors in the description of a phenomenon, although it does not mean perfectly accurate in all respects (e.g. estimates can be faithfully represented even if later proved inaccurate, provided the estimation process is correctly described).

#### Enhancing Characteristics: Comparability, Verifiability, Timeliness, Understandability

*Comparability* allows users to compare financial statements across periods and between entities (supported by consistent application of accounting policies). *Verifiability* means that knowledgeable, independent observers could reach consensus that a depiction is a faithful representation. *Timeliness* means information is available to decision-makers in time to influence their decisions. *Understandability* means information is classified, characterised and presented clearly and concisely.

### Part (b) — Objective and Limitations of the SOFP (9 marks)

#### Objective of the SOFP

The Statement of Financial Position (Balance Sheet) provides a snapshot of a company's financial position at a specific point in time, showing its *assets* (economic resources controlled by the entity), *liabilities* (present obligations arising from past events) and *equity* (the residual interest of owners). Its objective is to enable users to assess the entity's solvency, liquidity, financial structure (gearing), and the resources available to generate future cash flows.

#### Limitations of the SOFP

Several significant limitations reduce the usefulness of the SOFP as a sole information source: (1) *Historical cost basis* — many assets are recorded at historical cost rather than current market value, meaning the SOFP may significantly understate the real value of property or long-lived assets; (2) *Point-in-time snapshot* — the SOFP reflects position on one date only and can be manipulated by timing transactions near year end; (3) *Omission of intangible assets* — internally generated intangibles such as brand value, customer relationships, and employee expertise are excluded because they are difficult to measure reliably; (4) *Subjectivity in estimates* — items such as depreciation, provisions, and inventory valuations involve judgement and may not faithfully represent underlying economic reality.

### Part (c) — Four Accounting Concepts (3 marks each)

#### (i) Prudence Concept

Prudence requires that when faced with uncertainty, accountants should exercise caution in making judgements and estimates. Assets and income should not be overstated; liabilities and expenses should not be understated. For example, a provision for doubtful debts is created before the debt is definitely uncollectable, to ensure receivables are not overstated. Prudence does not, however, permit deliberate understatement of assets or overstatement of liabilities (which would be biased).

### (ii) Consistency Concept

The consistency concept requires that an entity applies the same accounting policies and methods from one period to the next, allowing meaningful comparisons of financial statements across periods. For example, if a company uses the straight-line method of depreciation for buildings, it should continue to do so unless a change is justified and disclosed. When a change in accounting policy is made, its effect must be disclosed in the financial statements so users can understand the impact.

### (iii) Going Concern Concept

The going concern concept assumes that the business will continue to operate in the foreseeable future (generally at least 12 months from the reporting date) without the need to liquidate or materially curtail its operations. This assumption justifies carrying assets at their carrying amount (e.g. depreciated cost) rather than at break-up value. If an entity is not a going concern, assets must be stated at their recoverable/disposal value, which is typically much lower, and additional liabilities (e.g. redundancy costs) may need to be recognised.

### (iv) Accruals Concept

The accruals concept (also called the matching principle) requires that revenues and expenses are recognised in the period in which they are earned or incurred, regardless of when cash is received or paid. For example, electricity used in December but billed in January must still be accrued as an expense in December's financial statements. Similarly, income received in advance (e.g. rent received before the rental period) is deferred to match the period it relates to.

## Mark Allocation — Question 3

| Marks | Criteria |
|---|---|
| **(a) 9** | Both fundamental characteristics (relevance and faithful representation) clearly explained with sub-components (predictive/confirmatory value; complete/neutral/free from error); four enhancing characteristics named and briefly explained; written in a style accessible to a non-expert investor. |
| **(b) 9** | Clear statement of the SOFP's objective (financial position, assets/liabilities/equity, liquidity/solvency); at least three distinct limitations explained with examples (historical cost, point-in-time, omitted intangibles, subjectivity). |
| **(c) 3 each** | Each concept: (1) correctly defined; (2) the reason behind it explained; (3) a practical example given. Award 1 mark per element per concept. Deduct marks where concepts are confused with each other (e.g. accruals described as prudence). |

**QUESTION 3 TOTAL — 30 MARKS**

QUESTION 4 — SECTION B

# Bakker Essay & Neil's Journals

Total: 30 marks

*Part A is an essay question on Peter Bakker's 2013 article about the role of accountants in corporate transparency and societal accountability. Part B tests preparation of basic journal entries for a sole trader's first month of trading.*

## Parts in this Question

| Part | Requirement | Marks |
| --- | --- | --- |
| A | Explain Bakker's meaning; include own opinion on his ideas | 20 |
| B | Journal entries for Neil's seven transactions + closing inventory | 10 |

## Question 4 — Part A

**20 marks**

Explain what Peter Bakker means when he says “Accountants Will Save the World”. Your answer should include your own opinion on Bakker’s ideas.

## Full Model Answer — Part A

### Bakker’s Core Argument

Peter Bakker, writing in 2013 as President of the World Business Council for Sustainable Development, argues that traditional corporate reporting is fundamentally inadequate because it focuses only on financial outcomes (how much money a company has made) while ignoring the environmental, social and governance (ESG) impacts that determine whether a company’s profits are sustainable and whether they are made at the expense of society. His statement “we need to ensure that corporate reporting makes clear how a company is making its money, not just how much money it has made” is a call to transform accounting from a purely financial discipline into a broader accountability tool for society.

### The Role Bakker Sees for Accountants

Bakker argues that accountants are uniquely positioned to drive this transformation because they control the measurement, reporting, and assurance systems through which businesses communicate with the outside world. If accountants began measuring and reporting on carbon emissions, resource depletion, supply chain ethics, employee welfare, and community impact with the same rigour as financial results, businesses would be held accountable for their full societal footprint — not just their bottom line. In this sense, accountants could “save the world” by making unsustainable or harmful business practices visible and measurable, thereby enabling markets, regulators, and civil society to reward responsible businesses and penalise irresponsible ones.

### Developments Supporting Bakker’s Vision

Since 2013, significant progress has been made towards Bakker’s vision: the ISSB has published IFRS S1 and S2 sustainability disclosure standards; the EU’s Corporate Sustainability Reporting Directive (CSRD) mandates detailed ESG reporting for large companies; and the concept of Integrated Reporting (<IR>) seeks to connect financial and non-financial value creation in a single report. These developments suggest Bakker’s ideas are now mainstream rather than radical.

### Critical Evaluation / Own Opinion

Bakker’s vision is compelling and increasingly supported by evidence that companies with strong ESG profiles deliver better long-term shareholder returns. However, significant challenges remain: ESG metrics are often difficult to measure objectively and are inconsistently defined across jurisdictions, making comparison difficult; the cost of expanded reporting may burden smaller businesses disproportionately; and there is a risk that “greenwashing” — presenting a favourable sustainability image without genuine substance — undermines the credibility of sustainability reports. Bakker’s framing is somewhat optimistic in assuming that better reporting will automatically change corporate behaviour, when financial incentives and regulatory enforcement may also be required.

## Mark Allocation — Part A

| Marks | Criteria |
|---|---|
| **17–20** | Clear explanation of Bakker’s argument (how vs how much); role of accountants in sustainability reporting; reference to relevant recent developments (CSRD, ISSB, IR); well-reasoned personal opinion with both support for and critique of Bakker’s ideas; well-structured essay. |
| **13–16** | Good understanding of Bakker’s argument; some reference to sustainability reporting developments; personal opinion present but less critically developed. |
| **8–12** | Basic understanding of Bakker’s argument; limited reference to developments; opinion stated without detailed justification. |
| **3–7** | Partial understanding; answer focuses on general accounting without engaging with Bakker’s sustainability argument. |
| **0–2** | No meaningful engagement with Bakker’s argument. |

## Question 4 — Part B

**10 marks**

Neil established a recorded music wholesaler business as a sole trader in September 2024. Prepare the journal entries to record his transactions for the first month of trading including closing inventory.

## Full Model Answer

| Date | Journal Entry | DR (€) | CR (€) |
|---|---|---|---|
| 1 Sept | DR Bank CR Capital<br>*Neil lodges personal savings to start business* | 25,000 | 25,000 |
| 4 Sept | DR Rent expense CR Bank<br>*Quarterly rent paid by cheque* | 3,000 | 3,000 |
| 9 Sept | DR Bank CR Loan<br>*Bank loan received* | 100,000 | 100,000 |
| 14 Sept | DR Purchases CR Payables (Accounts payable)<br>*Goods purchased on credit* | 56,000 | 56,000 |
| 16 Sept | DR Receivables (Accounts receivable) CR Sales<br>*Goods sold on credit* | 44,200 | 44,200 |
| 21 Sept | DR Advertising expense CR Bank<br>*Advertising costs paid* | 1,800 | 1,800 |
| 29 Sept | DR Wages expense CR Bank<br>*Wages paid by bank transfer* | 2,050 | 2,050 |
| 30 Sept | DR Inventory CR Purchases / Cost of Sales<br>*Record closing inventory at 30 September 2024* | 15,000 | 15,000 |

## Mark Allocation — Part B

| Marks | Criteria |
|---|---|
| **1 per journal** | 1 mark per correctly journalised transaction (correct accounts, correct DR/CR sides, correct amounts, narration). Award 1 mark for the closing inventory journal. Full 10 marks if all 8 entries (7 transactions + closing inventory) are correct. Deduct ½ mark where accounts are named correctly but DR/CR reversed. |

**QUESTION 4 TOTAL — 30 MARKS**